

◆ NIGHTMOVES VENTURES, LLC

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# Downtown Ardmore Boutique Hotel

105 East Main Street • Ardmore, Oklahoma

INVESTOR UNDERWRITING & CAPITAL STRUCTURE

There is no boutique hotel  
in downtown Ardmore.

That gap has existed for decades.

*We are closing it.*

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A 25-KEY BOUTIQUE HOTEL • \$5.46M TOTAL PROJECT • FOUR CAPITAL STRUCTURE OPTIONS

# The deal in five figures.

|                                                                                                              |                                                                                                                           |                                                                                            |
|--------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|
| <div>TOTAL PROJECT CAPITAL</div> <div>\$5.46M</div> <div>Acquisition, renovation, FF&amp;E, soft costs</div> | <div>ACQUISITION PRICE</div> <div>\$525K</div> <div>Historic building, 1.19 acres</div>                                   | <div>KEYS</div> <div>25</div> <div>Boutique room count • plus restaurant + speakeasy</div> |
| <div>TARGET INVESTOR IRR</div> <div>15–25%</div> <div>Range across all four capital options</div>            | <div>WORKING ARV → OPTIMISTIC</div> <div>\$6.5M → \$9.8M</div> <div>Conservative working number for lender scrutiny</div> |                                                                                            |

PLUS • HISTORIC TAX CREDITS

~\$1.76M

20% federal + 20% Oklahoma state on ~\$4.41M of qualifying rehabilitation — a return enhancement on top of the figures above.

# Built for hospitality, again.



ARCHITECTURAL RENDERING • 104 E. MAIN

ADDRESS

105 E. Main Street  
Downtown Ardmore, Oklahoma

LAND

1.19 acres

BUILDING

18,904 SF • historic

PROGRAM

25 boutique rooms  
Restaurant • alley-entry speakeasy

POSITION

**Only** boutique in downtown  
Triple-access: I-35, Amtrak, pedestrian core

MODELED ADR

**\$149 – \$285**  
vs market chain ADR \$100 — \$155

# The north lot — an asset hiding in the deal.



|              |                                                                                                                                                        |
|--------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|
| IN THE DEAL  | North parcel — included in the purchase, <b>under contract</b>                                                                                         |
| THE PLAN     | <b>Double-decker, split-level</b><br>half-down / one-up, sized to the parcel and kept below the roofline so it never competes with the historic facade |
| CAPACITY     | <b>Roughly doubles on-site stalls</b><br>directional — sized to the lot                                                                                |
| THE AMENITY  | <b>Secure, covered, on-site guest &amp; valet parking</b><br>unique among downtown Ardmore lodging                                                     |
| MONETIZATION | <b>Supports premium ADR &amp; occupancy and enables valet</b>                                                                                          |

UPSIDE → **In the basis. Not in the pro forma.** The structured-parking value sits entirely outside the underwriting on the slides that follow.

# What the north lot earns.



ILLUSTRATIVE → Ownership estimates — ~150 spaces, ~\$2.5M build, operated as paid public & event parking. Figures are directional and sit outside the hotel underwriting on the prior slides.

# A transformation into the jewel of downtown.



East Main Street frontage



TODAY • RENDERING



Rear elevation & entry



TODAY • RENDERING



Rooftop terrace & bar



TODAY • RENDERING



Main hall → restaurant & bar



TODAY • RENDERING

# Ardmore is built for boutique.

6M<sup>+</sup>

WINSTAR WORLD CASINO

ANNUAL VISITORS • 18 MI SOUTH • DFW-DRIVEN • 1,399 HOTEL  
ROOMS SELL OUT ON WEEKENDS

1.7M<sup>+</sup>

LAKE MURRAY STATE PARK

ANNUAL VISITORS • 5 MI EAST • OKLAHOMA'S LARGEST STATE PARK  
• SUMMER WEEKENDS SELL OUT

10.9M<sup>+</sup>

I-35 CORRIDOR

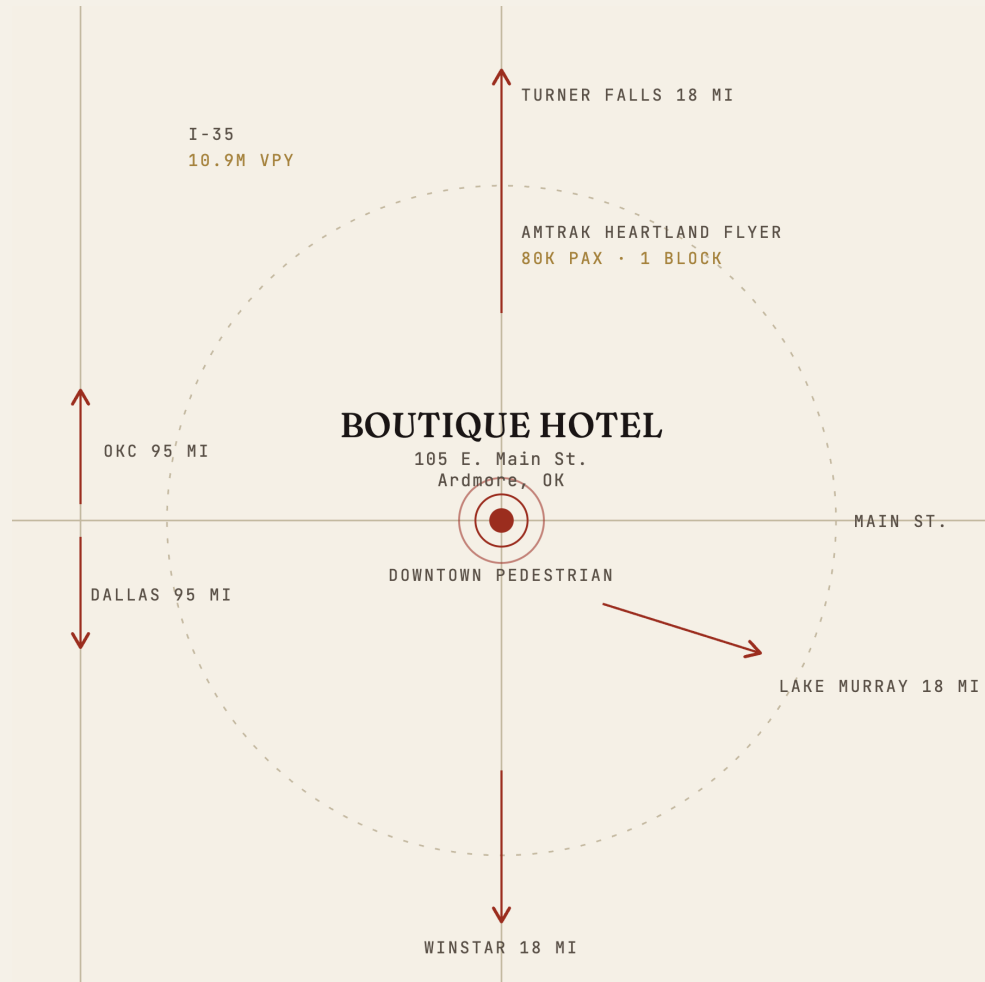
ANNUAL VEHICLES THROUGH ARDMORE • 30,000 VPD AVERAGE •  
70,000 PEAK WEEKENDS

80,371

AMTRAK HEARTLAND FLYER

ANNUAL PASSENGERS • STATION *ONE BLOCK* FROM THE PROPERTY

# A location no other Ardmore hotel can match.



## I-35 The interstate engine.

30,000 vehicles per day average, 70,000+ on holiday and OU-Texas weekends. **10.9M annual pass-throughs.** The corridor that carries DFW's gaming and outdoor traffic into Oklahoma.

## RAIL Amtrak's Heartland Flyer.

Daily Fort Worth ↔ Oklahoma City service. **80,371 annual passengers.** The station is at 251 E. Main — *one block* from the property. Walk-to-hotel rail access exists in no other Ardmore lodging.

## FOOT Downtown pedestrian core.

Main Street carries **4,300 VPD** directly past the property — with boutique shops, restaurants, and the Convention Center within a half-mile walk.

# Thirteen demand engines. Five categories.

GAMING

WinStar World Casino  
6M+ / 18 mi south

Gold Mountain Casino  
300 machines / 1.5 mi

Lakecrest Casino  
Near Lake Murray

OUTDOOR

Lake Murray State Park  
1.7M+ / 5 mi east

Turner Falls & Arbuckles  
25 mi north

Chickasaw Nat'l Rec  
Regional

EVENTS

Hardy Murphy Coliseum  
100K+ visitors / yr

Ardmore Convention Ctr  
50-80 events / yr

Chickasaw Festival  
Annual / week-long

TRANSPORT

I-35 Corridor  
10.9M+ vehicles / yr

Amtrak Heartland Flyer  
80,371 passengers / yr

E. Main St. (Hwy 70)  
4,300 VPD frontage

LOCAL BASE

Chickasaw Nation  
1,500+ employees

Mercy Hospital Ardmore  
900+ regional med hub

Oil & Gas / Healdton  
Highest-paying sector



LAKE MURRAY STATE PARK



WINSTAR WORLD CASINO



CHARLES B. GODDARD CENTER FOR VISUAL  
AND PERFORMING ARTS



HARDY MURPHY COLISEUM

# A market in active transition — and tourism is the strategy.

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## WHAT HAPPENED

### Manufacturing took a hit.

- **Michelin** closed — 1,400 jobs
- **AAF / Flanders** closed
- **Woodside H2OK** hydrogen plant cancelled

We name these openly. Investors should price them in — and the next two columns explain why we still pencil.

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## THE CITY'S RESPONSE

### A funded, deliberate pivot.

- **Economic Vision Plan** with VisionFirst Advisors
- **\$1M+ Rapid Community Response** grant deployed
- **Tourism & entrepreneurship** named primary replacement pillars
- **Dot Foods +\$13.9M expansion**; Circulus (Dow) opening 2nd facility
- Industrial Airpark actively marketed — rail, air, foreign trade zone

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## THE OPPORTUNITY

### We are the flagship.

- Tourism is now an **official economic pillar** — not a side bet
- Ardmore Tourism Authority is actively promoting downtown
- Main Street recognized "**America's Favorite**" by Today Show
- 10.3% business application growth — outpacing state

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*"The city is actively trying to build its tourism economy — and this hotel is the private investment that makes that strategy credible."*

# Six chain hotels on I-35. Zero downtown.

I-35 CORRIDOR • 1-2 MILES WEST

|                      |                           |
|----------------------|---------------------------|
| Hampton Inn & Suites | 88 rooms • \$130 – \$155  |
| Hilton Garden Inn    | 120 rooms • \$125 – \$150 |
| Comfort Inn & Suites | 78 rooms • \$100 – \$130  |
| Holiday Inn Express  | 84 rooms • \$100 – \$125  |
| Budget chains (3—4)  | ~250 rooms • \$65 – \$95  |
| Lake Murray Lodge    | 32 rooms • \$140 – \$175  |

DOWNTOWN ARDMORE

Boutique hotel (proposed) 25 rooms • \$149 – \$285

## Downtown boutique options: *zero*.

Boutique hotels nationally outperform chain counterparts by **+20—35% in ADR**. Ardmore market chain occupancy already runs 70—80% — top quartile of small Oklahoma markets. The supply gap is structural, not cyclical.

# The math behind a 25-room hotel that prices like a 100-room chain.

CHAIN — I-35 CLUSTER

\$100 – \$155

AVG DAILY RATE

**Generic experience** — near-highway, branded boxes, transient stays

**Volume play** — 80–120 rooms each, lower per-key returns

**Lower stabilized occupancy** when boutique enters the market

**No food/beverage upside** beyond breakfast

DOWNTOWN ARDMORE — BOUTIQUE

\$149 – \$285

AVG DAILY RATE • +20–35% NATIONAL BOUTIQUE PREMIUM

**Experience-driven** — historic building, downtown, walkable

**Restaurant + speakeasy** — F&B captures 25–35% of revenue

**First-mover advantage** — no other boutique within 90 miles

**Stabilized occupancy modeled 65–78%** • market baseline 70–80%

THE EXPERIENCE

# A dining room worth the drive.

The ground-floor restaurant and alley-entry speakeasy anchor the F&B program — a projected 25—35% of revenue, and the reason downtown Ardmore finally has somewhere to linger after dark.

THE EXPERIENCE

# A rooftop nobody else has.

An open-air terrace and bar above Main Street — the only elevated sunset view downtown, and a year-round draw for destination drinks and private events.

# Three valuation methods. One conservative working number.

INCOME APPROACH · 60% WEIGHT

Stabilized NOI ÷ cap rate.

CONSERVATIVE · 9.5% CAP\$6,842,105

BASE · 8.5% CAP\$8,751,012

OPTIMISTIC · 7.5% CAP\$11,333,333

Year 3 stabilized NOI of \$743,836 divided by secondary-market boutique cap.

COST APPROACH · 25% WEIGHT

What it would cost to rebuild.

LAND + BUILD + FF&E\$5,839,000

LESS 10% HISTORIC DEP.\$5,256,000

RANGE\$5.18M – \$5.33M

Replacement cost at \$250/SF · 18,904 SF · land 1.19 ac · FF&E \$400K.

PRICE PER KEY · 15% WEIGHT

Boutique sales comp.

CONSERVATIVE · \$125K/KEY\$3,125,000

BASE · \$175K/KEY\$4,375,000

OPTIMISTIC · \$225K/KEY\$5,625,000

Boutique secondary market range: \$125K—\$250K/key.

WORKING NUMBER

\$6,500,000

Deliberately below the weighted conservative ARV — sets up a comfortable lender margin.

\$5.9M

WEIGHTED · CONSERVATIVE

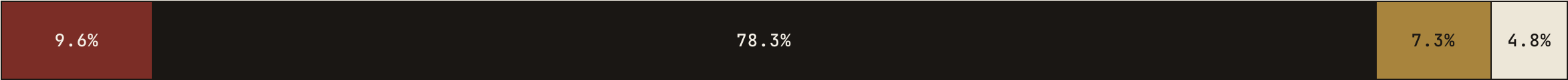
\$7.6M

WEIGHTED · BASE

\$9.8M

WEIGHTED · OPTIMISTIC

# \$5,464,200 — where every dollar goes.



ACQUISITION

\$525K

Historic building & 1.19 acres at 105 E. Main

RENOVATION & CONSTRUCTION

\$4.28M

18,904 SF gut + restore • approx \$226/SF all-in

FF&E

\$400K

25 rooms • lobby • restaurant • speakeasy

SOFT COSTS

\$263K

Permits, architecture, pre-opening, working capital

TOTAL PROJECT CAPITAL

\$5,464,200

OFFSET → ~\$1.76M in historic tax credits (40% of ~\$4.41M qualifying rehabilitation) flows back to investors — see next slide.

# 40% of the rehabilitation comes back as tax credits.

|                   |                          |                        |                     |
|-------------------|--------------------------|------------------------|---------------------|
| FEDERAL HTC • 20% | OKLAHOMA STATE HTC • 20% | COMBINED CREDITS • 40% | PER \$500K INVESTOR |
| \$881K            | \$881K                   | \$1.76M                | ~\$352K             |

## HOW THE CREDITS WORK

- The property is a **certified historic structure** on Ardmore's Main Street — the qualifying basis for both credits.
- Credits equal **40% of Qualified Rehabilitation Expenditures** — the rehab of the historic structure, not acquisition or FF&E.
- QRE base ≈ **\$4.41M**: the ~\$4.28M renovation plus qualifying architecture & permit soft costs.
- Federal credit is claimed **ratably over 5 years**; the Oklahoma credit is **transferable** and can be monetized earlier.

## WHAT IT MEANS FOR INVESTORS

- **~\$1.76M flows back to equity** on top of operating and exit returns — a pure return enhancement.
- Each \$575K investor's ~\$352K share lifts the Option 2 base case from **~3.6× to ~4.2×** equity multiple.
- Credits arrive *after* the hotel opens — they do not reduce the capital needed to build, but materially boost after-tax IRR.

Per-investor credit figures assume allocation to equity investors pro-rata to capital; final allocation is governed by the Operating Agreement — confirm with tax counsel before reliance. Credits are contingent on NPS/SHPO certification (Part 1-3) and final QRE certification; each investor's benefit depends on individual tax position. Forward-looking estimate.

20% FEDERAL + 20% OKLAHOMA STATE

# Four ways to fund this. One we recommend.

|                     | OPTION 1<br>Equity + Loan                       | OPTION 2 • RECOMMENDED ★<br>Balanced Stack | OPTION 3<br>Full Equity                     | OPTION 4<br>Two Principals                           |
|---------------------|-------------------------------------------------|--------------------------------------------|---------------------------------------------|------------------------------------------------------|
| TOTAL EQUITY        | \$1.78M                                         | \$2.88M                                    | \$5.46M                                     | \$5.46M                                              |
| CONSTRUCTION LOAN   | \$3.68M                                         | \$2.59M                                    | None                                        | None                                                 |
| INVESTORS           | 5—8                                             | 5—7                                        | 8—12                                        | 2                                                    |
| MIN. CHECK          | \$223K – \$357K                                 | \$411K – \$575K                            | \$455K – \$683K                             | ~\$2.73M                                             |
| ANNUAL DEBT SERVICE | ~\$300K                                         | ~\$210K                                    | \$0                                         | \$0                                                  |
| BALANCE-SHEET REQ.  | High • guarantors needed                        | Medium • lighter guarantee                 | Low • no loan                               | Low • no loan                                        |
| ESTIMATED IRR       | 15–20%                                          | 17–23%                                     | 19–25%                                      | 19–25%                                               |
| BEST FOR            | Strong-balance-sheet investors wanting leverage | Best overall balance — start here          | Cash-rich investors who want zero bank risk | Two principals who want to own it outright, together |

# Smaller checks. More leverage. Heavier guarantees.

|                         |                              |                         |                          |
|-------------------------|------------------------------|-------------------------|--------------------------|
| EQUITY RAISE<br>\$1.78M | CONSTRUCTION LOAN<br>\$3.68M | BASE IRR (5 YR)<br>~17% | EQUITY MULTIPLE<br>~4.3× |
|-------------------------|------------------------------|-------------------------|--------------------------|

HOW IT WORKS

- 5 equal investors at **\$356,900 each** (13.3% LP slot each)
- \$3.68M construction loan from 1NB or similar regional lender
- Lender requires investors with combined net worth ≥ 2× loan (~\$7.4M+)
- 12-month interest reserve funded at closing (~\$258K at 7.0%)
- Bank commissions own appraisal — our \$6.5M ARV supports a \$3.68M loan at ~57% of ARV

TRADE-OFFS

- **Personal guarantees required from all investors** — the gating issue
- ~\$300K annual debt service starts after construction completes
- Year-1 cash flow is the tightest of the four options
- Bank approval not guaranteed; conservative 57% loan-to-ARV helps but isn't a yes
- Leverage amplifies returns in the upside *and* the downside

# Larger equity. Smaller loan. The cleanest bank story.

|              |                   |                 |                 |
|--------------|-------------------|-----------------|-----------------|
| EQUITY RAISE | CONSTRUCTION LOAN | BASE IRR (5 YR) | EQUITY MULTIPLE |
| \$2.88M      | \$2.59M           | ~19%            | ~3.6×           |

## WHY THIS IS THE RECOMMENDATION

- 5 equal investors at **\$575,000 each** (14% LP slot each)
- Loan-to-cost drops to **47%** — very comfortable for a community lender
- Loan-to-ARV at \$6.5M is **39.8%** — well inside conventional underwriting
- Combined investor net worth of **~\$5.2M+** should clear the bank
- Interest reserve needed drops to **~\$181K** (vs. \$258K in Option 1)

## TRADE-OFFS

- Larger check size — investor pool is narrower than Option 1
- Still requires a bank approval and ongoing lender relationship
- Construction loan interest accrues during build
- Five investors each hold significant single-deal concentration
- If bank deal falls through, fallback is shifting toward Option 3

# No bank. No debt service. Highest IRR — hardest raise.

|                         |                           |                         |                          |
|-------------------------|---------------------------|-------------------------|--------------------------|
| EQUITY RAISE<br>\$5.46M | CONSTRUCTION LOAN<br>None | BASE IRR (5 YR)<br>~22% | EQUITY MULTIPLE<br>~2.9× |
|-------------------------|---------------------------|-------------------------|--------------------------|

## HOW IT WORKS

- 10 equal investors at **\$546,420 each** (7.0% LP slot each), or 8 at \$683K
- **Zero debt service** — 100% of Year 3+ NOI flows to investors
- **No bank approval** required; deal closes on investor capital alone
- **No personal guarantees** — investors are passive LPs, full stop
- Full exit proceeds available to investors at sale (no debt payoff)

## TRADE-OFFS

- Hardest raise — need \$5.46M from private investors alone
- Each investor's percentage stake is smaller (~2.9× multiple vs. ~3.6× in Option 2)
- More investor relationships to manage on an ongoing basis
- No leverage means lower absolute return per dollar invested in the upside
- Requires a deep accredited investor network — 8—12 commitments

# Two principals. No bank. The whole project, owned outright.

|                         |                           |                         |                                     |
|-------------------------|---------------------------|-------------------------|-------------------------------------|
| EQUITY RAISE<br>\$5.46M | CONSTRUCTION LOAN<br>None | BASE IRR (5 YR)<br>~22% | TAX CREDIT • PER PARTNER<br>~\$880K |
|-------------------------|---------------------------|-------------------------|-------------------------------------|

## HOW IT WORKS

- Two equal investors at ~\$2,732,100 each (35% LP slot each) fund the entire project.
- **Zero debt service** — no bank, no construction loan; 100% of Year 3+ NOI flows to the two partners.
- Each partner's pro-rata **historic tax credit** ≈ \$880K — half of the \$1.76M combined credits.
- **No personal guarantees** and no lender relationship — the two principals control the deal end to end.
- Full exit proceeds split between the two partners at sale, with no debt to repay.

## TRADE-OFFS

- Largest check of any option — ~\$2.73M each; needs two high-capacity investors.
- Maximum single-deal concentration for each partner.
- No leverage means a lower equity multiple (~2.9×) than the levered Options 1 and 2.
- The entire \$5.46M rides on just two commitments — no margin if one drops out.
- Per-partner returns mirror Option 3; the tax credits are the concentration payoff.

# A single investor's view of Option 2, base case.

|                                                       |             |
|-------------------------------------------------------|-------------|
| • Initial investment                                  | \$575,000   |
| + Return of capital at exit                           | \$575,000   |
| + Cumulative 8% preferred (5 yrs)                     | \$230,000   |
| + Operating cash distributions • Yrs 2—5 • 14% LP     | \$177,000   |
| + Sale proceeds • 14% of net • ~\$7.86M exit          | \$1,100,750 |
| + Share of historic tax credits • 20% fed + 20% state | \$352,000   |

= TOTAL RETURN • AFTER TAX CREDITS

\$2,434,750

EQUITY MULTIPLE • W/ CREDITS

~4.2x

EST. IRR • W/ CREDITS

~24%

CONSERVATIVE SCENARIO

\$575K → ~\$2,002,000 • ~3.5x • ~18% IRR • \$7.5M exit • incl. ~\$352K credits

~2.9x / ~13%

# Why we lead with Option 2.

Option 2 gives you the best absolute investor returns, the cleanest bank story, and maximum flexibility.

Target *five investors at \$575,000 each*. Use the \$2.875M equity to close the property and begin construction. Simultaneously pursue the \$2.59M construction loan — at *~40% loan-to-ARV*, most community lenders will approve without requiring heavy personal guarantees.

If the bank loan cannot be secured, you can approach existing investors about a bridge or bring in 2–3 additional investors to cover the gap — a structured shift toward Option 3. *The fallback is built in.*

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47%

**Loan-to-cost ratio** • very comfortable for a community lender

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39.8%

**Loan-to-ARV** at \$6.5M working value • inside conventional underwriting

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~\$181K

**Interest reserve** needed at closing • vs \$258K in Option 1

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~3.6×

**Equity multiple** base case • highest absolute dollar return of the four options

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FOR ACCREDITED INVESTOR INQUIRIES

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DOWNTOWN ARDMORE BOUTIQUE HOTEL